Critical Minerals, Geopolitics, and the Green Transition

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November 6, 2026



Critical minerals will power the green transition

- Lithium, nickel, cobalt, and other minerals
  - Critical for producing advanced batteries
  - Concentrated geographically, but traded globally
- Concentrated endowments give countries market power

Bloomberg

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Markets | Hyperdrive

Indonesia Weighs Deep Cuts to Nickel Mining to Boost Prices

- Energy ministry considering big reduction, people familiar say
- Prices of the battery metal have slumped on booming supply

By Eddie Spence and Faris Mokhtar
December 19, 2024 at 6:55 AM GMT-3

BENCHMARK SOURCE
Supply Chain Intelligence for the Energy Transition

Australian lithium supply cut by 15% due to low spodumene prices

14th November 2024

Fastmarkets

Cobalt export quotas: DRC sets limits to rebalance global supply

The Democratic Republic of Congo has introduced cobalt export quotas following the suspension period, setting limits on shipments while outlining future allocations. The policy is designed to balance global supply and demand while supporting the country's ambition to develop domestic processing capacity.

September 22, 2025

MINING.COM

South America looks at creating "lithium OPEC"

Cecilia Jamasmie | March 6, 2023 | 6:53 am Intelligence News Suppliers & Equipment Latin America Lithium

This paper

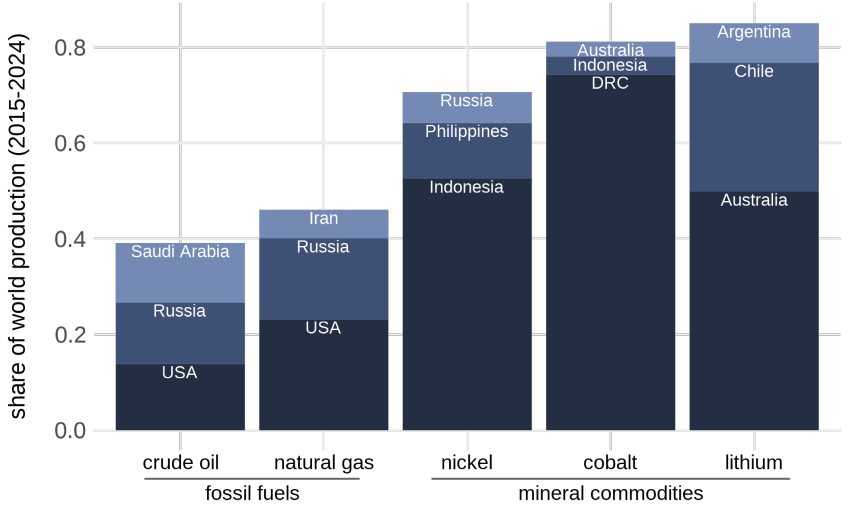
- What are the effects of energy resource concentration?
  - Market power and interdependence (geopolitics)
  - Global battery adoption (green transition)
- Minerals are joint inputs in battery production
  - We need to study these markets jointly
- Dynamic equilibrium model of global mineral markets

Results

- Substitution protects against mineral market power
  - LFP batteries avoid nickel and cobalt
- Complementarity can further limit the harm
  - Nickel restrictions drive down lithium prices, subsidizing LFP batteries
  - Coordination across complementary minerals reduces double markups

Background

Mineral supply is geographically concentrated



Critical minerals

- Minerals with low substitutability + high supply risk
  - Focus on criticality for energy transition (lithium, cobalt, nickel)
  - Separate national security purposes (rare earths)

Batteries	%
EV	80
BESS	15
Portable	5

EV batteries	%
Lithium	65
Cobalt	45
Nickel	11

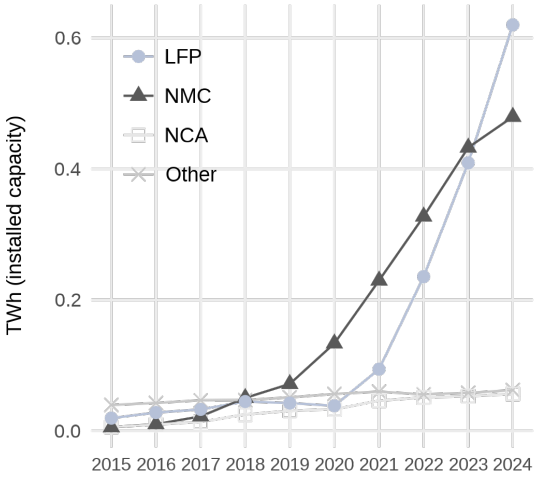
Stages

1. Upstream mining and processing
   - Australia, Indonesia, DRC with Chinese ownership
2. Midstream refining and battery manufacturing
   - China
3. Downstream EV manufacturing
   - China, US, Europe, Korea, Japan

Data

- Mineral supply: mine-level production and costs (GlobalData, S&P, BMI)
  - Near universe of world production for lithium, nickel, cobalt
- Battery demand: EV producer-level consumption (Rho Motion)
  - E.g., Tesla's purchases of NMC batteries for Model S production in US, Q1 2021
- Battery-mineral "recipes" (Argonne National Laboratory)

Mineral recipes vary by battery technology



	nickel	lithium	cobalt
LFP	-	100%	-
NMC	62%	14%	24%
NCA	75%	11%	14%

kg mineral/kWh capacity

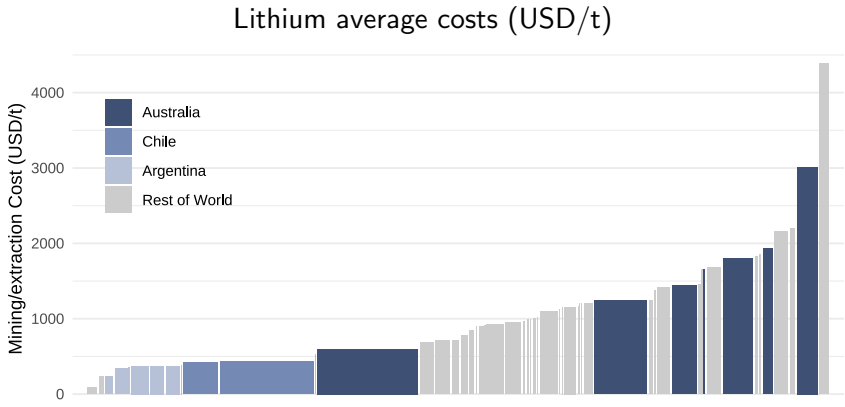
Framework

Market concentration with complementarity

- Indonesia exercises market power for nickel
  - Nickel price ↑, Indonesian profits ↑
  - But consumers switch away from nickel-heavy batteries
- Policy spillovers for Australian lithium
  - Helped via **substitution** toward lithium-heavy batteries
  - Hurt via **complementarity** as nickel-heavy batteries still use lithium
- Green adoption in aggregate
  - Slower if **gross substitutes** (both prices ↑)
  - Ambiguous if **gross complements** (Ni price ↑, Li price ↓)

Supply

We construct supply curves from our cost data



Supply by mine i, year t

Euler condition	Marginal revenue	Marginal cost
$mr^{it} - mc^{it} = \beta \mathbb{E}^{it}[mr^{it+1} - mc^{it+1}]$	$mr^{it} = p^t g^i$	$mc^{it} = \kappa x^{it} + \varepsilon^{it}$

- **Dynamics** from finite reserves (Hotelling 1931)
  - Extraction x^{it}, price p^t, grade g^i (output $g^i x^{it}$)
- **Cost convexity** κ, which we estimate
  - Cost shocks ε^{it}

Estimation with cost data

$$\underbrace{p^t g^i}_{mr^{it}} = \underbrace{\kappa x^{it} + \varepsilon^{it}}_{mc^{it}} + \eta^{it}, \quad \varepsilon^{it} = ac^{it} - \frac{\kappa}{2} x^{it}$$

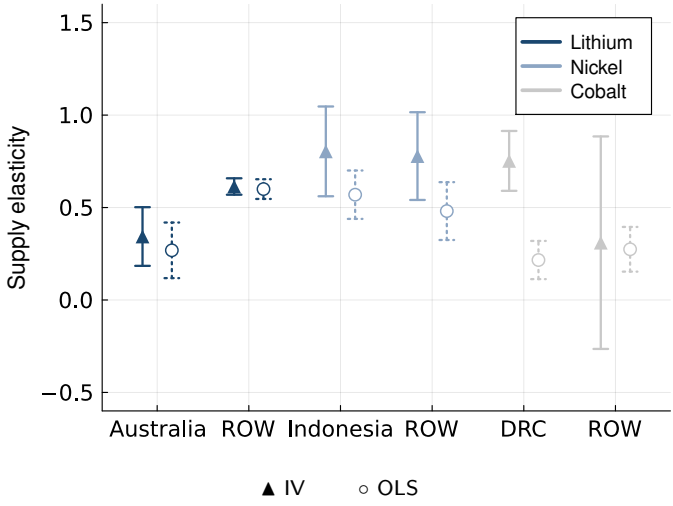
- Endogeneity problem from cost shocks ε^{it}
  - Consider static FOC for intuition
- Average cost data reveal cost shocks
  - Total cost $\frac{\kappa}{2}x^2 + \varepsilon x$ implies $ac = \frac{\kappa}{2}x + \varepsilon$

Empirical specification

$$\Delta p^{mt} g^i - \Delta ac^{it} = \frac{\kappa^m}{2} \frac{\Delta x^{it}}{\bar{x}^i} + \Delta \tau^{km} g^i + \Delta \tau^{om} g^i + \eta^{it}$$

- Dynamics: differences and lagged IV for expectational error (Hall 1978)
- Accounting for capacity $\bar{x}^i$ and policy wedges τ^m

Mineral elasticities



- Australian lithium is less elastic than other lithium producers
- Nickel is more elastic in general
- DRC cobalt is more elastic than other cobalt producers

Demand

Demand by battery j, region k, quarter t

$$w_{jkt} = \alpha_{jt} + \beta_j \log \frac{X_{kt}}{P_t} + \sum_{j'} \gamma_{jj'} \log p_{j't} + \varepsilon_{jkt}$$

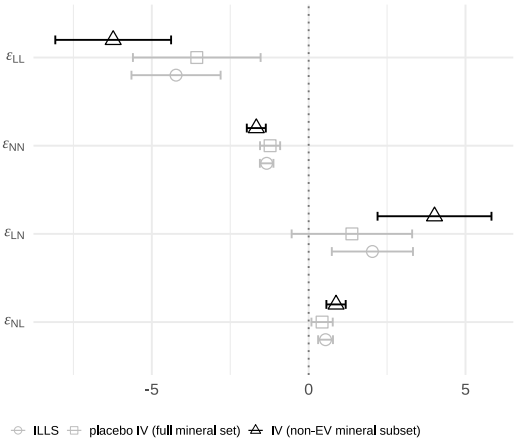
- Almost ideal demand system (Deaton & Muellbauer 1980)
  - Expenditure shares w_{jkt}, prices p_{jt}, translog price index P_t
- Avoids specifying the characteristics that govern substitution
- Endogeneity from demand shocks ε_{jkt}

Estimation with instruments

$$z_{jt} = \sum_{m \in \mathcal{M}'} r_j^m p^{mt}, \quad \mathcal{M}' = \{\text{Al, Mn, Fe, Ph}\}$$

- Secondary mineral prices as cost shifters for battery prices
  - Relevance: minerals affect batteries through recipes r_j^m
  - Exclusion: EVs are less than 3% of demand for $\mathcal{M}'$

Battery elasticities



- IV $>$ OLS as expected
  - But only with $\mathcal{M}' \subset \mathcal{M}$
- $LL > NN$ reflects quality of L
  - Shorter driving range
  - More price-sensitive customers
- LN and NL capture switching

Counterfactuals

Equilibrium prices

- Mineral prices clear markets (with non-battery demand δ^{mt})

$$\sum_{i \in \mathcal{I}^{mt}} s^{it} = \sum_{j} r_j^m d_{jt} + \delta^{mt}$$

- Mineral prices pass through to battery prices (with fixed midstream wedge μ_{jt})

$$p_{jt} = \sum_{m} r_j^m p^{mt} + \mu_{jt}$$

- **Equilibrium**: sequence of prices $\{p^{mt}\}$ that clear markets $\forall\, m, t$

Counterfactual policies

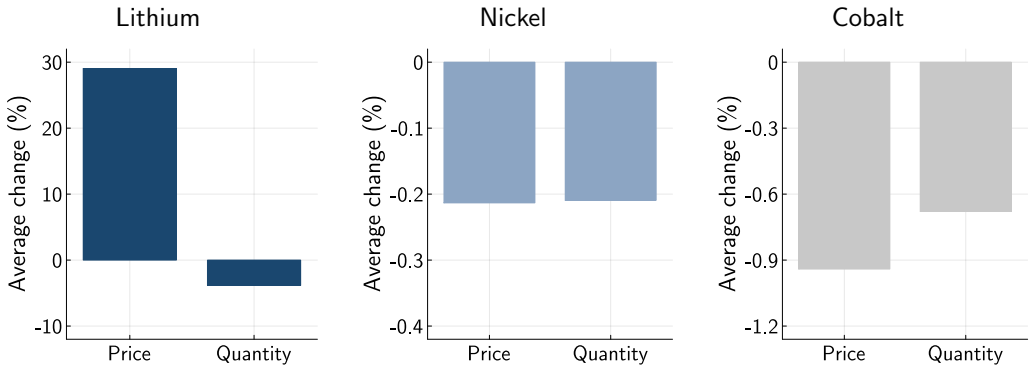
- Production taxes that exercise national market power
  - Maximizing producer surplus and government revenue
- Solve for equilibrium prices and production over time
  - Compare to baseline equilibrium

1. Supply chain vulnerability

	Price effects (%)				
	Lithium	Nickel	Cobalt	Battery L	Battery N
Lithium (Australia)	107	−1.09	−3.69	9.47	9.46
Nickel (Indonesia)	−1.84	76.0	−3.43	−0.17	3.55
Cobalt (DRC)	−6.19	−3.74	865	−0.58	14.1

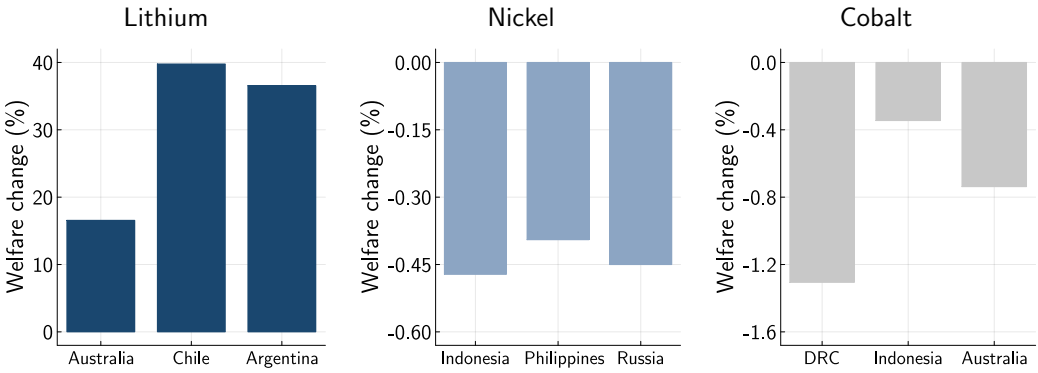
- Remove top producer, solve for equilibrium price changes
  - Large price increases (76% to 865%)
  - Lithium is common input (raises both battery prices)
  - Minerals are **gross complements** (negative cross-effects)

2. Unilateral policy: Australian lithium



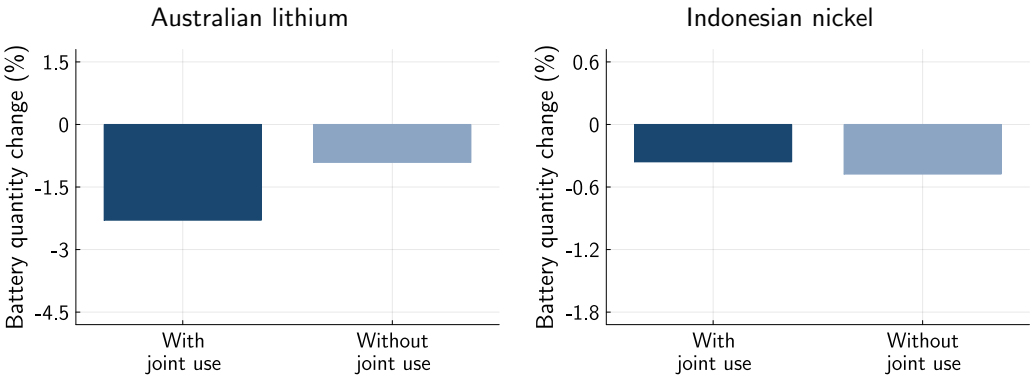
- Australia restricts lithium: lithium price rises, nickel and cobalt prices fall

2. Unilateral policy: Australian lithium and geopolitics



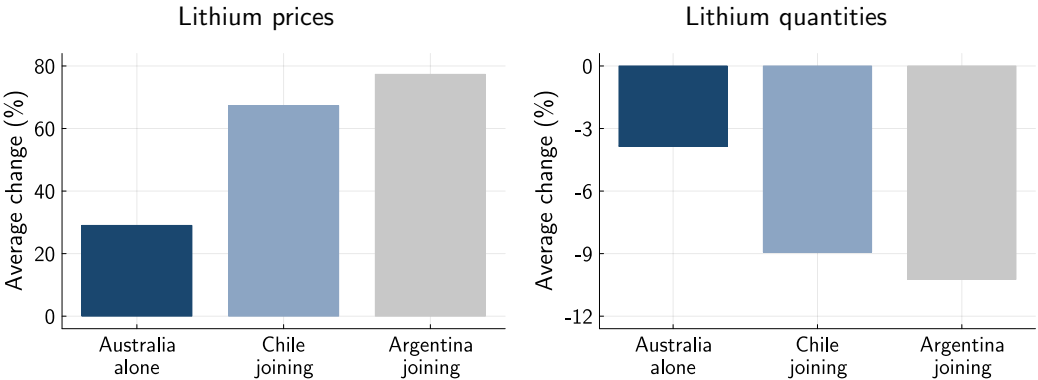
- Australia restricts lithium: substitutes win and free-ride, complements lose

2. Unilateral policy: green adoption and joint use



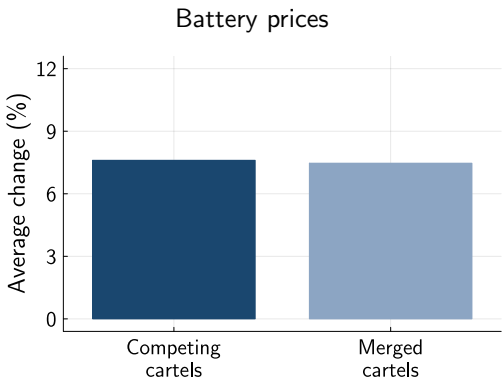
- Lithium is common input: joint use worsens losses (no substitute)
- Nickel is complement: joint use blunts losses (L subsidy)

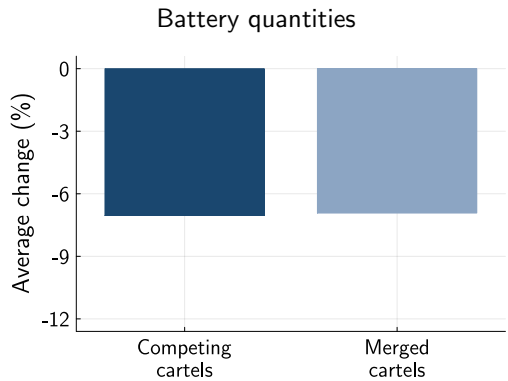
3. Cartel policy: OPEC for lithium



- Cartel restricts lithium: bigger cut, bigger effects

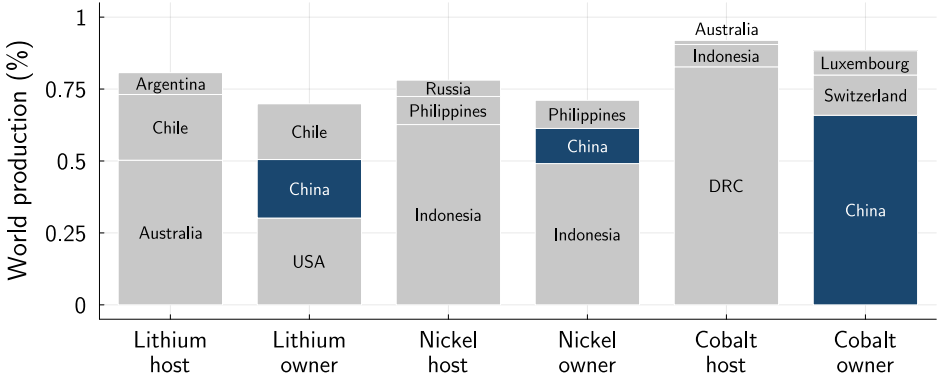
3. Cartel policy: OPEC for nickel and lithium





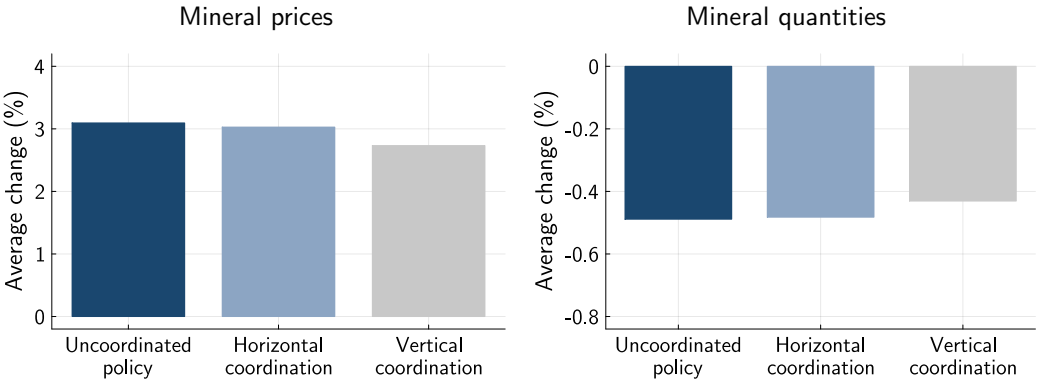
- Consolidation vs. complementarity (Cournot 1838)

4. Chinese policy: ownership



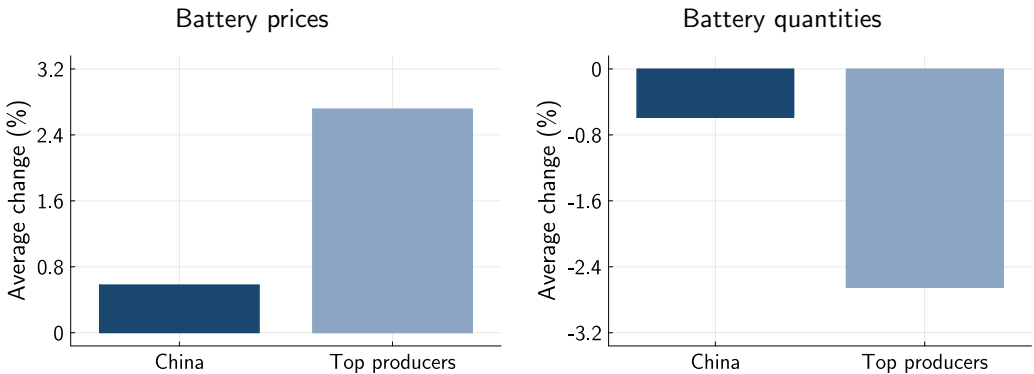
- Chinese companies own mines across minerals

4. Chinese policy: coordination



- Horizontal coordination internalizes cross-mineral complementarity
- Vertical coordination accounts for downstream battery consumption

5. Chinese policy: resource nationalism



- Chinese multinationals vs. independent Australian and Indonesian policy
  - Top producers have larger market shares and do not coordinate across minerals

Policy implications

- Focus on battery exposure
  - Mineral price spikes $>$ battery price spikes
- Invest in new technologies
  - Existing technologies can avoid nickel and cobalt, but not lithium
- Distinguish consolidation within and across minerals
  - Coordination across complementary minerals is less harmful